

GLOBAL INVESTMENT SOCIETY — ASSUMPTIONS MEMO

lululemon athletica inc. (NASDAQ: LULU) | Integrated DCF & 3-Statement Model | FY2025A reported; FY2026E–FY2030E projected

Convention: Blue = reported (10-K / earnings). Red = analyst assumption. Every material input has a Ctrl+F anchor on the linked source page. Bottom-up revenue drivers on the *Revenue Drivers* tab; valuation on *DCF*.

Assumption	Value	Source	Ctrl+F / proof
REVENUE — CONSOLIDATED			
FY2026 revenue growth	–6.1%	Q2 FY2026 earnings release	"decline of 5% to 7%"
FY2027–30 revenue growth	+2.3% avg	StockAnalysis 3Y forecast	"Revenue Growth Forecast (3Y)" → 2.26%
Store fleet (FY25)	811 stores	FY2025 10-K	"Total company-operated stores" → 811
China store openings (FY26E)	+20 net	Analyst assumption	Ctrl+F store table; expansion market
E-commerce revenue (FY25)	\$4,919M	FY2025 10-K	"E-commerce" → 4,918,697
Digital conversion (FY26E)	3.3%	Analyst assumption	Calibrated to 10-K channel split
Women's / Men's / Acc. mix	63 / 24 / 13%	FY2025 10-K	"women's, men's, and accessories"
MARGINS & FCF			
FY26 clean EBIT margin	13.2%	Q2 FY2026 release	"18.8%" minus "560 basis points"
FY26 tariff refund (one-time)	\$134.5M	Q2 FY2026 release	"134.5 million"
Terminal EBIT margin (FY30)	15.5%	FY2025 10-K anchor	"19.9%" (unique hit)
Capex (% sales, FY26)	7.0%	FY2025 10-K guide	"\$725 million and \$745 million"
NWC (% Δ revenue)	7.5%	Analyst assumption	Single AR+inv+OCA–AP–accrued line
WACC & TERMINAL VALUE			
Risk-free rate	4.8%	FRED DGS10	"2026-09-03" → 4.77
Equity risk premium	6.0%	Damodaran overlay	"Implied ERP (FCFE)" 4.23%; model 6.0%
Beta (unlevered retail)	0.95	Damodaran betas	"Retail (Special Lines)" → 0.95
Beta (relevered for leases)	~1.06	WACC tab	$\beta_u \times (1 + (1-T) \times \text{lease debt} / \text{market equity})$
WACC (base)	~10.1%	CAPM build	Lease-adjusted weights; rf + $\beta \times \text{ERP}$ blend
Terminal growth (g)	2.25%	FRED GDPC1	Real GDP ≈ 2.1%; model 2.25%
Exit EV/EBITDA (selected)	~6.0x Gordon	DCF identity	$(\text{UFCF}/\text{EBITDA}) \times (1+g) / (\text{WACC}-g)$
Pubcomps (PitchBook 04-Sep-26)	4.7–12.7x	PitchBook Comps Set	EV/EBITDA = daily EV / TTM EBITDA

Primary filings: <https://www.sec.gov/Archives/edgar/data/1397187/000139718726000020/lulu-20260201.htm> | **Earnings:** <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>